discretionary strategy headed by Platt is off the charts with a Gain to Pain ratio of 5.6. (The Gain to Pain ratio is a loss-based, as opposed to volatility-based, return/risk measure; see Appendix A for a more detailed explanation of this metric.)

The consistent and extended low-risk numbers achieved by BlueCrest's discretionary strategy are not a matter of chance. Platt is obsessive about risk control. It permeates his own trading and the design of every aspect of the strategy. The discretionary strategy has kept losses remarkably low through a three-tiered process of combining broad diversification—seven teams trading different strategies and sectors—extreme tight reins on the losses of individual traders, and oversight by a seven-person risk management team. Platt is really serious about risk control.

I met Platt at the firm's Geneva office. We talked in a conference room that was memorable for its unusual color: orange. When discussing trading strategies, Platt speaks at a speed that is somewhere between a rushed New Yorker and the fast-talking executive in the famous Fed Ex commercial. When the topic of conversation is a four-legged fixed income trade, keeping up with Platt can be a challenge.

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How did you get interested in markets?

I have always liked puzzles. When I was 10 years old, my dad gave me a Rubik's cube, and 36 hours later, I could do it from any position in under one minute. I always regarded financial markets as the ultimate puzzle because everyone is trying to solve it, and infinite wealth lies at the end of solving it. When you are solving any puzzle, you have to start off from the perspective "What do I know for sure?" Do I have any bedrock to start off my analysis? It's shocking how little you know for certain in financial markets. One of the only things I could say with certainty was that markets trend because I can observe trends in any financial market, in any time era. You could go back 150 years in cotton futures, and there are trends everywhere. The same is true for equities, bonds, short-term rates, everything.

It seems illogical that markets trend. Markets should discount all information and then be static waiting for the next piece of information